UNIT – I: BUSINESS ENVIRONMENT

CHAPTER-1

BUSINESS ENVIRONMENT

Topic-1 Business Environment

Revision Notes

- **Business Environment:** Business environment surrounds all those factors that affect a company's operations and includes customers, competitors, stakeholders, suppliers, industry trends, regulations other government activities, social and economic factors and technological developments.

  "Business Environment is the aggregate of all conditions, events and influences that surround and affect it". ***–Keith Davis***

  "The environment of business consists of all those external things to which it is exposed and by which it may be influenced directly or indirectly". ***–Reinecke and Schoell***

  "The total of all things external to firms and industries that affect the function of the organization is called business environment". ***–Wheeler***

- **Features of Business Environment:**
  - **(i)** Aggregate of all internal and external forces
  - **(ii)** Dynamic, as it keeps on changing
  - **(iii)** Uncertain, as it depends on future events
  - **(iv)** Complex, as it is difficult to grasp in totality
  - **(v)** Different components are inter-related
  - **(vi)** Includes both specific (affects directly) and general forces (affects indirectly)
  - **(vii)** Relative, as it differs country to country or region to region
  - **(viii)** Universal or pervasive as every business organisation has to face environmental forces
  - **(ix)** Consists of several stakeholders, e.g., customers, competitors, suppliers, marketing intermediaries.
- **Need to understand Business Environment:**
  - **(i)** Helps to get first mover advantage
  - **(ii)** Helps to identify threats as an early warning signal
  - **(iii)** Helps in tapping useful resources
  - **(iv)** Helps to cope with rapid changes
  - **(v)** Helps in formulating business strategies
  - **(vi)** Helps in gaining customer confidence and positive public image
  - **(vii)** Helps to get an advantage over competitors
  - **(viii)** Helps in keeping pace with consumerism

Key Terms

- **Social Environment:** It includes forces such as customs, traditions, social expectations, literacy rate, etc.
- **Economic Environment:** It includes factors such as inflation rates, interest rates, stock market indices, etc.
- **Technological Environment:** It includes forces related to scientific improvements and innovations in the methods of production and techniques of operating a business.
- **Political Environment:** It includes political conditions such as general stability of the ruling party, government ideologies, values and practices of the ruling party, etc.
- **Legal Environment:** It includes various legislations passed by the Government, administrative orders, court judgments, etc.

Topic-2 Business Analysis Models

Revision Notes

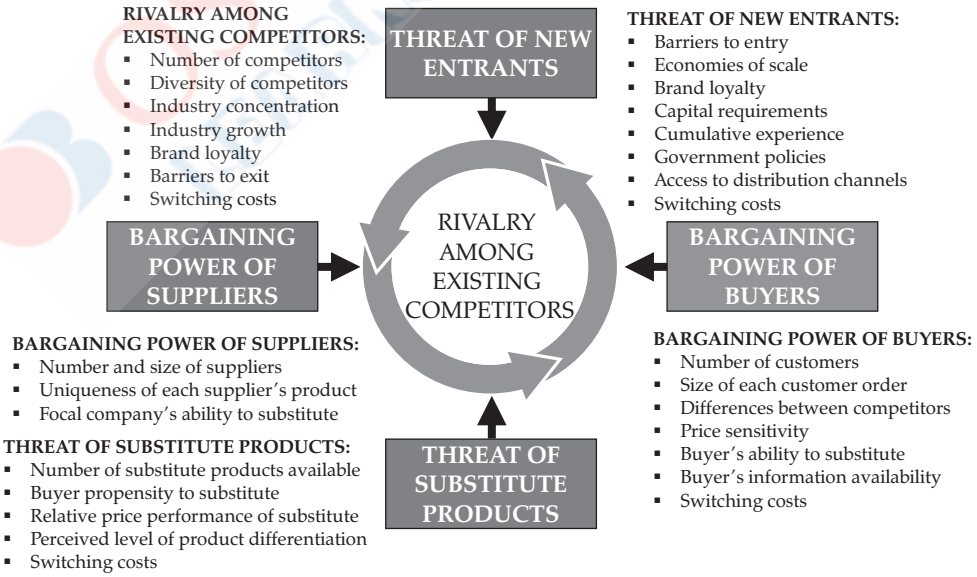
➢ **PESTEL Analysis**

A PESTEL analysis is a framework used to analyze external business environment for understanding market growth or decline, business position, potential and direction for operations.

P	E	S	T	E	L
- Government policy - Political stability - Corruption - Foreign trade policy - Tax policy - Labour law - Trade Restrictions	- Economic growth - Exchange rates - Interest rates - Inflation rates - Disposable income - Unemployment rates	- Population growth rate - Age distribution - Career attitudes - Safety emphasis - Health consciousness - Lifestyle attitudes - Cultural barriers	- Technology incentives - Level of innovation - Automation - R&D activity - Technological change - Technological awareness	- Weather - Climate - Environmental policies - Climate change - Pressures from NGO's	- Discrimination laws - Antitrust laws - Employment laws - Consumer protection laws - Copyright and patent laws - Health and safety laws

➢ **PORTER'S Five Forces Model**

Porter's Five Forces is a framework used to analyze a company's competitive environment. The number and power of a company's competitive rivals, potential new market entrants, suppliers, customers, and substitute products can influence a company's profitability.



➢ **SWOT** is (acronym for strengths, weakness, opportunities and threats) a strategic planning technique used to know competitive positive for project planning.

➢ **Components:**

Strengths	Weaknesses
• Things in which company excels • Characteristics in which company has competitive advantage • Internal resources such as skilled and loyal staff, strong internal communication system, strong inventory management • Tangible assets such as intellectual property rights, capital proprietaries technologies, etc.	• Limitations of company • Things in which competitors have advantage over company • Resource limitations such as lack of fund • Unclear unique selling proposition
Opportunities	**Threats**
• External factors that can impact company positively and build up strength • Unreserved markets for specific products • Emerging needs for company's product or service	• External factors that can endanger the company's position • Emerging competitors • Negative media coverage • Change in regulatory environment

➢ **Importance**
- Source of information for **Strategic Planning**.
- Highlights the current position in comparison to others, i.e., **Competitive Analysis**
- **Simple and Flexible tool,** hence can be applied to any type of company in any industry
- **Inexpensive tool** as it only requires a spreadsheet and time to conduct it
- **Multidimensional** analysis as it includes internal as well as external factors

Key Words

➢ **Strategic Planning:** Strategic planning is a process used to plan strategies and to implement them to achieve organizational goals reconsidering every aspect of organization such as current position, strengths, potential, market needs etc.

➢ **Intellectual Property Right:** This is an exclusive right given to a creator for their intangible creations of the human intellect for certain period of time.

➢ **Unique Selling Preposition:** It is that feature which makes a product distinctive from the competitors' products and helps gain a competitive advantage.

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UNIT – 2: ENTREPRENEURSHIP

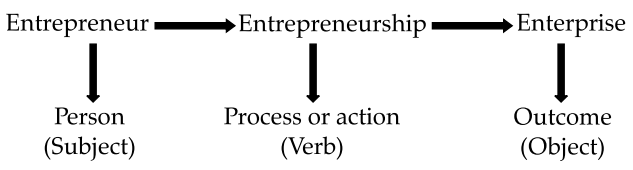
CHAPTER-2

ENTREPRENEURSHIP

Topic-1 Entrepreneur, Entrepreneurship & Intrapreneurship

Revision Notes

Concept of Entrepreneurship



- **Entrepreneur :** An entrepreneur is a person who perceives opportunities, synthesizes the available information, analyses emerging patterns that escape the attention of other people and establish a new business.

- **Definitions of Entrepreneur :**

  "An entrepreneur is an economic agent who unites all means of production, the labour force of the one and the capital or the land of the others and who finds in the value of products his results from their employment, reconstitution of the entire capital that he utilizes and the value of the wages, the interest and the rent which he pays as well as profits belonging to himself." ***- J. B. Say***

  "Entrepreneurs are individuals who exploit market opportunities through technical and/or organizational innovation." ***- Joseph Schumpeter***

  "A person who habitually creates and innovates to build something of recognized value around perceived opportunities." ***- Bolton and Thompson***

  "An entrepreneur always searches for change, responds to it, and exploits it as an opportunity." ***- Peter F. Drucker***

  "An entrepreneur is someone who exercises some control over the means of production and produces more than what he can consume in order to sell it for income." ***– David C. Mclelland***

  "An entrepreneur is an agent who buys means of production at a certain price in order to combine them into a product that he is going to sell at prices that are certain at the moment at which he commits himself to his costs." ***- Richard Cantillon***

- **Types of Entrepreneurs as given by Clarence Danhof :**
  - **(ix)** Innovative Entrepreneurs
  - **(x)** Imitative or Adopting Entrepreneurs
  - **(xi)** Fabian Entrepreneurs
  - **(xii)** Drone Entrepreneurs

- **Entrepreneurship :** The word "**entrepreneur**" originates from a thirteenth-century French word, 'entreprendre', meaning "to do something" or "to undertake."

  Entrepreneurship is a process which involves grabbing an opportunity, organizing the resources and undertaking the production to set up a business entity and taking on financial risks in the hope of profit.

- **Definitions of Entrepreneurship :**

  "Entrepreneurship is the purposeful activity of an individual or a group of associated individuals, undertaken to initiate, maintain or aggrandize profit by production or distribution of economic goods and services". ***– A. H. Cole***

  "Entrepreneurship can be described as creative and innovative response to the environment". ***- Rao and Mehta***

  "Entrepreneurship is meant the function of seeking investment and production opportunity, organizing an enterprise to undertake a new production process, raising capital, hiring labour, arranging the supply of raw materials, finding site, introducing a new technique, discovering new sources of raw materials and selecting top managers for day to day operations of the enterprise." ***- B. Higgins***

  "Entrepreneurship is defined as anticipating the future requirements of society and successfully meeting these needs with new, creative and imaginative combinations of resources". ***- Franklin Lindsay***

- **Characteristics of Entrepreneurship :**
  - **(i)** Economic activity
  - **(ii)** Creative activity
  - **(iii)** Dynamic process
  - **(iv)** Profit potential
  - **(v)** Risk bearing

- **Characteristics of a Successful Entrepreneur :**
  - **(i)** Forward looking
  - **(ii)** Hardworking
  - **(iii)** Passionate
  - **(iv)** Opinionated
  - **(v)** Confident
  - **(vi)** Resourceful
  - **(vii)** Positive

- **Factors affecting Entrepreneurship :**
  - **(i)** Political factors such as government stability, ideology, etc.
  - **(ii)** Statutory factors such as laws governing business activities, policies, etc.
  - **(iii)** Availability of capital
  - **(iv)** Availability of required labour
  - **(v)** Availability of required raw material

- **Types of Entrepreneurship :**
  - **(i)** Small business entrepreneurship
  - **(ii)** Scalable startup
  - **(iii)** Large company
  - **(iv)** Social entrepreneurship
- **Intrapreneurship :** It is a system in which employees of the organisation are motivated to act like an entrepreneur. An intrapreneur acts like an entrepreneur while working within an organization. He doesn't take any risk but his entrepreneurial skills are beneficial for the firm.
- **Definitions of Intrapreneurship :**

  (i) An entrepreneurial person employed by a corporation and encouraged to be innovative and creative". (ii) "A person with entrepreneurial characteristics who is employed within a large corporation." (iii) "Are usually found in enterprises that encourage experimentation, tolerate failure, recognize success and share the wealth". ***- Skinner S. J. & Ivancevich J. M.***

  Intrapreneurs are dreamers who do, those who take responsibility for creating an innovation of any kind within an organization. ***- Pinchot***
- **Difference between Entrepreneurship and Intrapreneurship :**

  Entrepreneurship :
  - **(i)** A process of undertaking an enterprise which involves risk.
  - **(ii)** To set up an organisation based on a new idea that creates socio-economic value.
  - **(iii)** Operates from outside the organization.
  - **(iv)** Risky as risk is borne by the entrepreneur himself.
- **Intrapreneurship :**
  - **(i)** A process of discovering and exploiting business opportunities within the organisation.
  - **(ii)** To increase the competitive strength and market sustainability of the organization.
  - **(iii)** Operates inside the organization.
  - **(iv)** Not risky or moderate risky from employees' point of view as risk is taken by company.
- **Types of Intrapreneur :**
  - **(i)** Venture Intrapreneur
  - **(ii)** Project Intrapreneur
- **Characteristics of Intrapreneurship :**
  - **(i)** Corporate framework
  - **(ii)** Semi-autonomous
  - **(iii)** Lack of ownership
  - **(iv)** Senior position
  - **(v)** Low risk taking
  - **(vi)** Not own boss
- **Factors affecting Intrapreneurship :**
  - **(i)** Management support
  - **(ii)** Resource availability
  - **(iii)** Organization structure
  - **(iv)** Risk taking capacity
  - **(v)** Reward

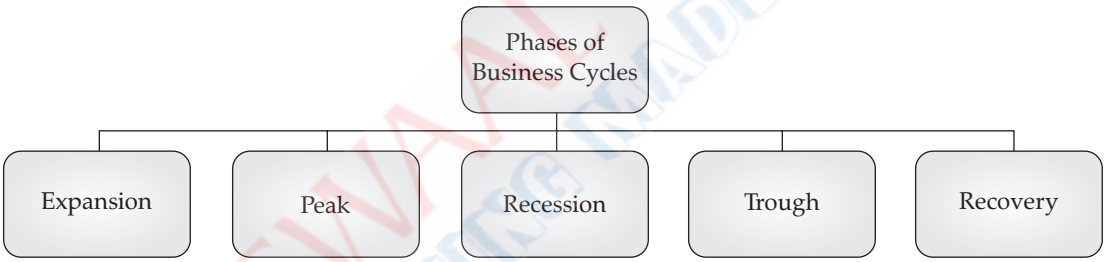
Key Words

- **Economic growth :** An increase in the amount of goods and services produced per head of the population over a period of time.
- **Wealth :** Wealth is the current value of stock of all the assets owned by a person, community, company, or country.
  - **(a) Project Intrapreneur:** A project Intrapreneur possesses an enterprise mindset to complete the given project, holding complete ownership for it , and delivers the best results within the budget.
  - **(b) Venture Intrapreneurs:** Venture Intrapreneurs have a risk-taking attitude for the new venture with regard to investment decisions and strategic actions under situations of uncertainty. They are given autonomy and resources to create their own separate team for their innovative venture
- **Promoter :** A promoter is a person who is engaged in promoting the formation and incorporation of a company. This person also solicits people to invest money in the company when it is formed.
- **Subsidiary Unit :** A subsidiary unit is a company that is owned and controlled by another company, which is also referred to as the parent company or the holding company. For example; TATA Motors, TATA Chemicals, TATA Power, TATA Steel, etc. are the subsidiaries of the TATA Group.

Topic-2 Enterprise

Revision Notes

- **Enterprise :** Enterprise is an undertaking formed by one or more entrepreneurs, which produces, promotes, or distributes goods and services, creates jobs, contributes to national income, through trade and commerce in domestic markets and abroad, and contributes to the overall economic development. An enterprise is created by an entrepreneur (actor) and this whole process of creation (act) is called entrepreneurship, i.e., the outcome of the actor and the act, is called the enterprise.
- **Steps in setting up an Enterprise :**
  - **(i)** Selecting the line of business
  - **(ii)** Choosing the form of ownership
  - **(iii)** Locating the appropriate site to set up the business
  - **(iv)** Financing the proposition (identifying capital requirements and its sources)
  - **(v)** Setting up the physical layout and the facilities
  - **(vi)** Acquiring required human resource
  - **(vii)** Compliance with statutory requirements
  - **(viii)** Launching the business
- **Business Cycle :** Business cycles are periodic intervals of growth and decline in an economy. There are five phases of business cycles - Expansion, Peak, Recession, Trough and Recovery.



- **Start-up :** A new enterprise, founded by one or more entrepreneurs, to seek, develop, and validate a scalable business model.

Key Words

- **Expansion** : There is an increase in various economic factors, such as production, employment, output, wages, profits, demand and supply of products, and sales. This process continues as long as economic conditions are favourable for expansion.
- **Peak :** The growth in expansion phase reaches to a saturation point, i.e., the peak, which is the maximum limit of growth that can be attained. In the peak phase, the economic factors, such as production, profit, sales, and employment, are higher, but do not increase further. There is also a gradual decrease in demand for various products due to increase in the prices of inputs.
- **Recession :** Decline in demand for goods and services becomes rapid and steady. In this phase, all the economic factors, such as production, prices, saving and investment, starts falling. Producers do not notice the decrease in demand instantly and go on producing, In such a case, the supply of products exceeds the demand. Prices tend to fall. When problem exists for a longer duration, producers begin to avoid any type of further investment in factor of production.
- **Trough :** The growth rate of an economy becomes negative and the demand and supply of goods and services reach their lowest point. The economy eventually reaches the trough or a depression. It is the negative saturation point for an economy. In this phase, financially weaker organisations mostly leave the industry.
- **Recovery :** Demand begins to increase due as prices were lowered during the earlier phases and supply begins to increase, accordingly. The economy begins to expand as spending increases and businesses begin to grow. Investment and employment by organizations increases.

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CHAPTER-3

BUSINESS RISKS & CAUSES OF FAILURE

Revision Notes

- **Business Risk :** Business Risk is defined as the possibility of inadequate profits or that may prevent an organisation from achieving a business goal due to uncertainties.
- **Features/Nature :**
  - **(i)** Business risk **arises due to uncertainties,** e.g., change in demand and supply, changes in consumer preferences, etc.
  - **(ii)** Business risk is an **essential part of any business.** It can be minimized but cannot be fully eliminated.
  - **(iii)** Degree of business risk depends upon the **nature and size of business.**
  - **(iv)** **Profit** is the reward for bearing the risk.
- **Causes of Business Risks :**
  - **(i)** **Natural Causes :** Include action of nature e.g., floods, hurricanes, tornadoes, volcanic eruptions, earthquakes, Tsunamis, storms, etc.
  - **(ii)** **Political Causes :** Include changes in the political environment e.g., price regulations, high rates of taxes, unfavourable economic policies, strict legislations imposed on business enterprises, etc.
  - **(iii)** **Social Causes :** Include changes in the social activities or environment, e.g., changes in fashions, change in the tastes or preference of consumers, changes in the income of consumers, changing social values leading to a new pattern of social life, etc.
  - **(iv)** **Economic Causes :** Include changes in the economic environment e.g., inflation, economic recession in industry, increase in the rate of interest, pessimistic capital market conditions, etc.
  - **(v)** **Technological Causes :** Include unforeseen changes in the techniques of production or distribution e.g., outdated or untested technology.
  - **(vi)** **Human/ Managerial Causes :** Include human activities e.g., dishonesty, carelessness or negligence of an employee, stoppage of work due to power failure, strike, management inefficiency, etc.
  - **(vii)** **Physical Causes :** Include all the causes which result in damage of assets e.g., bursting of a boiler, accident of employee, breakdown of particular machinery, etc.
- **Types of Business Risk :**
  - **(i)** **Strategic Risk :** Strategic risks are related to strategic decision making and arise due to faults in strategies.
  - **(ii)** **Financial Risks :** These risks refer to deterioration in the financial position of an enterprise.
  - **(iii)** **Operational Risks :** Such risks arise due to interruptions in the day-to-day operations of an enterprise.
  - **(iv)** **Compliance/Regulatory Risks :** Such risks arise due to non-compliance with relevant laws, regulations, rules, policies approved by the government.
  - **(v)** **Competition and Market Risks :** These risks arise due to the actions of competitors which negatively impact the organisation.
  - **(vi)** **Environmental Risks :** These risks refer to the threats arising due to negative impact of organisation's activities on environment.
  - **(vii)** **Reputational Risk :** Reputational risk refers to the risk of losses due to decline in the reputation of a company.
  - **(viii)** **Innovation Risk :** The risk wherein a business expects regular failures during the innovation process.
  - **(ix)** **Credit Risk :** A credit risk refers to the risk of default on debt, means who owe you money fails to pay you back.
- **Methods of Managing Risks :**
  - **(i)** Avoiding the risk by not participating in risky activities/strategies.
  - **(ii)** Mitigating the risk by using various measures to minimize the potential losses.
  - **(iii)** Transferring the risk to third-parties who are more willing to bear the risk.
  - **(iv)** Accepting and absorbing the risks by just accepting anticipated losses.
  - **(v)** Exploiting risk by preparing to take advantage of the benefits from a potential event.

- **Causes for Business Failure :**

  Internal causes for business failure are :

  (i) Poor management
  (ii) Poor accounting practices
  (iii) Premature scaling
  (iv) Funding Shortfall/Poor Cash Flow Management
  (v) Inadequate Profits
  (vi) Small Consumer Base
  (vii) Labour Problems
  (viii) Inappropriate balance in the sources of finance
  (ix) Overtrading or growing too quickly
  (x) Poor marketing and research

  External causes of Business failure are :

  (i) Economic fluctuations
  (ii) Market fluctuations
  (iii) Non-availability of credit
  (iv) Changes in government policies and laws
  (v) Natural disasters
  (vi) Non-availability of inputs
  (vii) Change in technology

Key Words

- **Insurable risk :** The risks which can be recovered are insurable risks. The losses which can be made good, or losses for which company can get compensation from insurance company are called insurable risk.
- **Non-insurable risk :** The risk for which no protection is available is called non-insurable risk. Generally, economic risk and human risk are non-insurable risks.
- **Speculative risk :** It involves both the possibility of gain as well as possibility of losses. It arises due to change in market conditions, fluctuation in prices, etc.
- **Pure risk :** It involves only the possibility of loss or no loss. Fire, theft, strikes are the examples of pure risk.
- **Interest rate :** A rate charged by bank on principal amount lent to borrower for the use of that amount for the specified period.
- **Liberalisation :** Liberalisation means de-regulating and removal or loosening of restrictions in an economic or political system.

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UNIT – 3: MANAGERS & MANAGERIAL ROLES

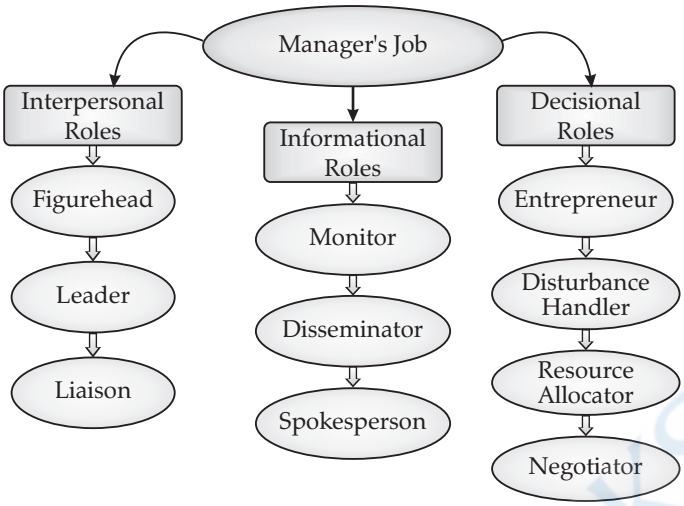
CHAPTER-4
MANAGER AND MANAGERIAL ROLES : INTRODUCTION

Revision Notes

- **Manager :** A manager is a person who controls and administers an organisation or group of persons to achieve the common goal of a business or an organisation.
- **Definitions of a Manager :**

  "Manager is one who accomplishes the objectives by directing the efforts of others." *– S. George*

  "A manager is the one who plays inter-personal, informational and decisional making roles." *-Henry Mintzberg*
- **The term, 'Manager' was first defined by Henry Fayol.** Dr. Henry Mintzberg conducted a research to know whether Henri Fayol's 50-year-old definition of manager still stood in the 60s and 70s. He identified 10 roles of a manager played in an organization which fell into 3 basic categories :



- **Interpersonal roles** of a manager are roles that involve interaction of manager with people including subordinates as well as persons outside the organization and other duties that are ceremonial and symbolic. Such roles involve formal authority.

  The three interpersonal roles include being a :

  (i) Figurehead
  (ii) Leader
  (iii) Liaison
- **Informational roles** of a manager are all about exchange of information, i.e., receiving, collecting, and disseminating information. Manager serves as focal point for receiving and transmitting information thus considered as the nerve centres of their organization.

  The three informational roles include :

  (i) Monitor
  (ii) Disseminator; and
  (iii) Spokesperson
- **Decisional roles** of a manger revolve around making choices. A manager has to take various decisions to discharge responsibilities that he is obligated to.

  The four decisional roles include :

  (i) Entrepreneur
  (ii) Disturbance handler
  (iii) Resource allocator
  (iv) Negotiator

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CHAPTER-5

AUTHORITY DELEGATION OF AUTHORITY, RESPONSIBILITY AND ACCONTABILITY

Topic-1 Delegation : Concept & Elements

Revision Notes

- **Delegation :** Delegation is the transfer of authority from superior to subordinate, entrustment of responsibility and creation of accountability for performance.

- **Definitions of Delegation**

  "It is the assignment of part of a manager's work to others along with both the responsibility and the authority necessary to achieve expected results." ***– Martin and Bartol***

  "Delegation is the process by which a manager assigns tasks and authority to subordinates who accept responsibility for those jobs." ***– Pearce and Robinson***

  "An individual is only one manpower. Single-handed, he can accomplish not so much in a day. The only way he can achieve more is through delegation through dividing his load and sharing his responsibilities with others." ***– Lounsbury Fish***

  "The entire process of delegation involves the determination of results expected, the assignment of tasks, the delegation of authority for accomplishment of these tasks and the exaction of responsibility for their accomplishment." ***– Koontz and O' Donnell***

- **Elements of Delegation : Authority, Responsibility & Accountability**
- **Authority** refers to the right of an individual to command his subordinates and to take action within the scope of his position.

  "Authority means the power to command others- to act or not to act in a manner deemed fit by the possessor of the authority and is exercised in furtherance of the enterprise or departmental purpose". ***– Koontz and O'Donnell***

  Features of Authority :

  (i) It is the right to command and control others.
  (ii) It can be delegated to others.
  (iii) It flows downward from superior to subordinate.
  (iv) It is bound by certain limits.

  Sources of Authority :

  (i) **Formal Authority Theory :** Authority originates at the top of an organisation and flows downward through the process of delegation.
  (ii) **Acceptance Authority Theory :** Authority originates only if superior gets obedience from the subordinates.
  (iii) **Competence Authority Theory :** Authority originates due to personal competence and charisma.

  Principles of Authority :

  (i) Principle of Functional definition
  (ii) Principle of Delegation of results expected
  (iii) Principle of Parity between authority and responsibility
  (iv) Principle of Unity of Command
  (v) Scalar Chain Principle
  (vi) Principle of Exception

- **Responsibility is** as an element of delegation which means obliging a subordinate to perform the assigned duty properly.

  "Responsibility may be defined as the obligation of a subordinate to perform the assigned and implied duties." ***– Koontz and O'Donnell***

  Features of Responsibility :

  (i) It is an obligation to perform an assigned task.
  (ii) It can't be delegated entirely.
  (iii) It arises from delegated authority.
  (iv) It flows upward from subordinate to superior.

- **Accountability** as an element of delegation means the answerability for the final outcome of the assigned task.

  "Accountability is the obligation of an individual to report formally to his superior about the work he has done to discharge the responsibility." ***– McFarland***

  Features of Accountability :

  (i) It is an extent of answerability for the outcome of the assigned task.
  (ii) It cannot be delegated at all.
  (iii) It arises from responsibility.
  (iv) It flows upward from subordinate to superior.

  Inter-relationship between Authority, Responsibility and Accountability :

  (i) Authority is delegated, Responsibility is assumed and Accountability is imposed.
  (ii) Responsibility is derived from authority and accountability is derived from responsibility.

  In the process of delegation, a subordinate gets responsibilities or duties to perform and also receives necessary authority to perform these responsibilities from superior and at the same time, he becomes accountable for work performed by him.

Topic-2 Patterns of Delegation : Centralisation and Decentralization

Revision Notes

- **Centralisation :** It refers to the concentration of authority in few hands mainly at top or higher levels of management.

  "Centralisation is the systematic and consistent reservation of authority at central points in the organisation."

  – Louis Allen

- **Decentralisation :** It refers to the delegation of authority *i.e.* decision-making power throughout all the levels of the organisation.

  "Everything that goes to increase the importance of the subordinate's role is decentralization."

  – Henry Fayol

- **Difference between Delegation of Authority and Decentralisation of Authority :**

  Delegation of Authority :

  (i) To lessen the burden of the managers.
  (ii) It has a narrow scope as it is limited to the superior and their immediate subordinates.
  (iii) It is a process followed to share tasks. It is the result of the policy decisions of the top management.
  (iv) It is a compulsory act because no individual can perform all tasks on his own.

  Decentralisation of Authority :

  (i) To increase the role of the subordinates in an organisation by giving them more autonomy.
  (ii) It has a wider scope. It implies extension of delegation to the lowest level of management.
  (iii) It is the result of the policy decisions of the top management.
  (iv) It is an optional policy decision. It is done at the discretion of the top management.

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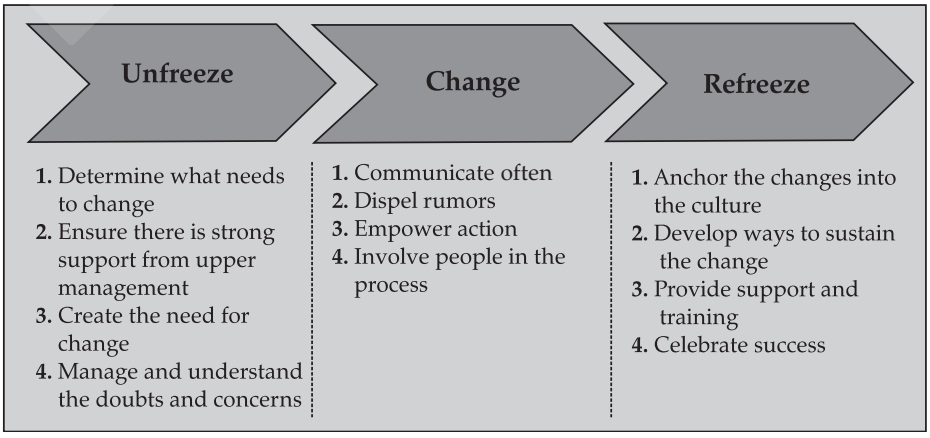
CHAPTER-6

CHANGE MANAGEMENT

Revision Notes

- **Changes** are inevitable and affect all types of organisations. Organisations change occur each and every day. Changes involve alteration in existing organizational or working system, which may face resistance on the part of employees.
- **Change management** is a process that allows companies to implement a change within the organization, effectively and efficiently.
- **Process of Change Management (Kurt Lewin's Model)**



➢ **ADKAR Model of Change**

A	Awareness of the need for change
D	Desire to support the change
K	Knowledge of how to change
A	Ability to demonstrate skills and behaviours
R	Reinforcement to make change stock

➢ **Types of Change :**

(v) **Developmental change :** Developmental changes are incremental in nature wherein changes occur that enhance or correct existing aspects of an organization, that focus on improvement in skill or a process. Development changes can either be planned or emergent and are considered of the first order. Example, improving existing billing and reporting methods by automating the processes is a developmental change

(vi) **Transitional change :** Transitional changes are changes made to replace existing processes with new processes. It is considered to be episodic and planned which seeks to achieve a known desired state. It involves three stages as suggested by Kurt Lewin, which are as follows:

(a) **Unfreezing :** This is the first stage of transition and one of the most critical stages in the entire process of change management. It involves improving the readiness as well as the willingness of people to change by fostering a realization for moving from the existing comfort zone to a transformed situation.

(b) **Change/Moving :** This is the second stage wherein an organization moves or transitions to a new position through cognitive restructuring. It involves the acceptance of the new ways of doing things requiring careful planning, effective communication and encouraging the involvement of individuals for endorsing the necessary change. This stage is not easy due to the uncertainties or the fear of change.

(c) **Refreezing :** This is the third and final stage of reaching a new equilibrium position by moving from the earlier transitionary stage to a stable state. In this stage people accept or internalize the new ways of working or change, accept it as a part of their life and establish new relationships. Accordingly, businesses should recognize and provide positive reinforcements, create supporting policies or structures and provide rewards/incentives to employees that can help in reinforcing the transformed ways of working.

(vii) **Transformational change :** This change is considered to be radical or of second order. It is a stage of emergence or complete shift in business workings, strategies and processes. These changes may be a response to extreme or unexpected market changes. Transformational change can produce fear, doubt and insecurity in staff, and needs to be very well managed. For example, adopting radically different technologies or making operating changes to meet new demand and supply forces in a business indicate transformational change. Correspondingly, the organization operates in a developmental mode wherein it can continuously learn, adapt and improve.

(viii) **Need for change :** Organisational change is necessary for companies to succeed and grow. Change enables the successful adoption and use within the business, thus allowing employees to understand and commit to the shift and work effectively. There are two forces that can create change – Internal forces and External forces

(a) **Internal forces :** Internal forces include forces that affect the workings of a business internally and can be controlled.

- **Need for improving Productivity :** Companies are constantly looking for ways to improve quality, reduce downtime, and increase inputs of labor, materials, energy, and purchased services. This leads to changes in operating methods or processes.
- **Need to reduce Costs :** Change management is a cost avoidance tactic as it is a tool of mitigating risks, increases the probability of meeting organisational objective, derives project's ROI, etc.
- **Need for improving Quality of Work life :** The need for improving the quality of work life means improving working conditions, enhancing the role and involvement of employees, providing incentives and rewards to work, etc. Accordingly, this can increase productivity and reduce job attrition.
- **Domino Effect :** If one event causes another similar event, which in turn causes another event, and so on, it is known as domino effect, e.g., the creation of a new department leads to introduction of new managerial positions and reallocation of resources, etc. Thus, a change creates cumulative effect and creates needs for further changes.
- **Deficiency in Existing System :** The present structure or processes or methods used by company currently may not be capable of achieving goals due to which need for planned changes arises. These deficiencies may be in the form of too much centralization or too much decentralization of authority, overstaffing or understaffing, line-staff conflict, poor HR policies, etc.
- **To enhance Innovation :** Innovation is considered one of the few proactive strategies an organization can take to regenerate growth and fight a recession. To innovate, change is required in the culture, in the organization, in the strategy and in the way of working.

(b) **External forces :** Factors that occur outside the organisation and not in control of the organisation.

- **Change in Technology :** Technological changes that affect businesses can include new inventions and improvements in production and techniques. These changes can boost businesses to produce cost-effective and innovative products and services
- **Change in Political scenario :** Political forces consist of factors influenced by government actions at national, global, state or local level, which affect the operations of the business. These factors include change in political ideology or principles, political stability, international relations, welfare activities of governments, defence and military policies, centre-state relationship
- **Change in Legal forces :** These forces refer to the macroeconomic laws, regulations and/or legislations which govern the operations and regulate businesses in an economy.
- **Change in market situation :** The Market situation depends on the external environment e.g., increase in price due to import quota, increase in demand due to a possible emergency, new product launched by competitor, changes in needs and habits of consumers, etc. Organisation must change to get benefit or to survive in these situations.
- **Population Dynamics :** Changing size and age distribution of population may cause shortage or surplus of skilled and unskilled people and may accentuate different life styles. Migration of people may require changes as it creates difficulties in accessing healthcare, housing, education, employment though it can also facilitate growth in a certain region/industry.. The drive for social equality. erosion of the joint family system, rise of working women are the major social changes.

Causes of Resistance to Change :

Individual Resistance			Organisational Resistance
Economic Reasons	**Personal Reasons**	**Social Reasons**	
1. Fear of Economic Loss **2.** Obsolescence of Skills	**1.** Status Quo **2.** Fear of Unknown **3.** Ego Defensiveness	**1.** Social Displacement **2.** Peer Pressure	**1.** Organisational Structure **2.** Resource Constraints **3.** Threat to Power and Influence **4.** Sunk Costs

➢ **Overcoming Resistance to Change :** Strategies to overcome resistance to change are :

(i) **Education and Communication :** Educate and communicate people about the nature, process and expected outcome.

(ii) **Participation and Involvement :** Employees who resist change should be involved in planning, designing and implementing changes.

(iii) **Facilitation and Support :** Give physical support to learn new techniques and emotional support with enough time to adjust.

(iv) **Negotiation and Bargaining :** Offer financial and non-financial incentives to motivate people to accept changes.

(v) **Coercion :** Force people to accept changes by explicit and implicit changes.

(vi) **Co-optation and Manipulation :** Co-optation means giving people desirable role and manipulation means conscious structuring of events.

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UNIT – 4: AUTOMATION AT WORKPLACES

CHAPTER-7

AUTOMATION AT WORKPLACES

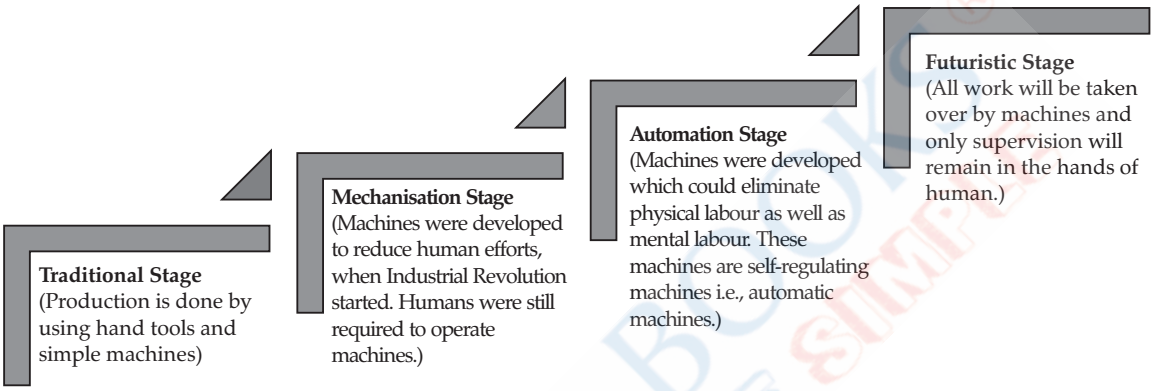
Revision Notes

➢ **Mechanization** is the process of introducing and implementing machines and equipment to perform work more efficiently by replacing the traditional methods involving labour and/or animals.

➢ **Automation** means the use of automatic machinery and equipment in place of hand tools and machines operated by workers that reduces human intervention in the processes.

For example; Commercial Banks in India have moved towards Bank Mechanization and Automation with the introduction to MICR based cheque processing, Electronic Funds Transfer. Inter-connectivity among bank branches and implementation of ATM (Automated Teller Machine) channels have resulted in the convenience of anytime banking.

- **Difference between Mechanization and Automation :** Mechanization refers to replacement of human power with mechanical power of some form. The use of hand power tools is not an example of mechanization. Automation and mechanization are often confused with each other. Mechanization saves the use of human muscles whereas automation saves the use of human judgement. Mechanization displaces physical labour, whereas automation displaces mental labour as well. Mechanization affects one or two industries at a time. Automation is the replacement of human thinking with computers and machines. Automation creates jobs for skilled workers at the cost of unskilled and semi-skilled workers. It affects many industries at the same time.
- **Evolution from Mechanization to Automation**



- **Merits of Automation**
  - **(i)** Higher Productivity
  - **(ii)** Better Quality of Work
  - **(iii)** Low Operating Costs
  - **(iv)** Job Satisfaction
  - **(v)** Effective Control
  - **(vi)** Taxation Benefits
- **Demerits of Automation**
  - **(i)** Heavy Investment
  - **(ii)** High Maintenance Cost
  - **(iii)** Opposition by Union
  - **(iv)** High Breakdown Rates
  - **(v)** Less Versatility
  - **(vi)** Increase in Unemployment
- **Merits of Mechanisation :**
  - **(i)** **It relieves monotony :** Activities in a job that are done repetitively can be done by machines thus reducing boredom and monotony of work.
  - **(ii)** **It maintains standardization :** Standardisation means producing maximum variety of products from the minimum variety of materials, parts, tools and processes. Accordingly, mechanization ensures that theses standardized criteria is maintained thus reducing working capital, minimizing operating expenses, and reducing errors during production
  - **(iii)** **Accuracy :** Machines ensure better accuracy by eliminating chances of errors and the work continues smoothly without any delays and bottle-necks thus reduce costs of errors or wastage
  - **(iv)** **Better control :** Mechanisation is in itself the act of controlling production processes using technology and ensuring timely completion of work without delays or errors
  - **(v)** **Greater efficiency :** Mechanisation enables efficiency by achieving maximum productivity with minimum wastage and efforts as well as expenses.
  - **(vi)** **Lower costs of operation :** While mechanization involves large amount on initial capital investment, the operating costs on an average however declines in the long run
  - **(vii)** **Better quality of work :** It systematizes the operating processes in a firm thus improving quality of work
- **Demerits of Mechanisation :**
  - **(i)** **Heavy investment :** Businesses need to make heavy investments to mechanise the working environment. They also need to incur costs on their maintenance and create an environment to ensure that the machines run smoothly without any breaks or delays.

(ii) **Waste when idle :** When a mechanized environment is not fully utilized, it remains idle thus adding to the operating and overhead costs.

(iii) **Employee Retrenchment :** Adoption of certain machines could lead to employee retrenchment which means employees would be laid off as they will be replaced by machines

(iv) **Costs of breakdown :** Machines if not operated or maintained properly could lead to break-downs which can be very costly. Break-downs lead to delay in work, waste of time and efforts in addition to the high costs of repair.

(v) **No trained staff :** The purchasing and utilization of machines require skilled employees for its operation. If trained or skilled employees are not available, the machines cannot utilize properly.

(vi) **Monotony :** While machines could replace workers and need few workers to operate and maintain them, they could create monotony among workers, and demotivate them as machine work becomes standardized and repetitive.

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CHAPTER-8
PRODUCTIVITY ENHANCEMENT TOOLS & FACILITIES AT DIFFERENT WORKPLACES

Revision Notes

➢ **Productivity Enhancement Tools and Facilities in Banks**

(i) **ATM (Automated Teller Machine) :** It is a computer-based machine which allows customers to perform basic financial functions like deposits, withdrawals, bill payments and transfers, etc.

(ii) **Passbook Printing Kiosk :** It is an automated kiosk which enables customers to print passbook on their own.

(iii) **Cheque/ Cash Depositing Machine :** It is a self-service terminal like ATM which enables customer to deposit cheque or cash to their bank account irrespective of your bank.

(iv) **SMS Alert :** It is a service provided by banks to their customers in which banks send alerts and notifications to their customers regarding their account activities.

➢ **Productivity Enhancement Tools and Facilities in Retail Industry**

(i) **Barcode Scanner :** A Barcode Scanner is an electronic device that read printed barcodes, decode the data contained in the barcode and send the data to a computer.

(ii) **POS Machine :** Point of Sale (POS) is time and place where a retail transaction is finalized. POS machine is a terminal used to record transactions at point of sale. Generally, it is an electronic device used to record purchases, process credit or debit cards, and update inventory.

(iii) **Card Swipe Machine :** It is an electronic device or payment terminal, connected to the bank account of merchant, used to process card transaction/payment.

➢ **Productivity Enhancement Tools and Facilities in Corporate Offices**

(i) **Biometric System :** Biometric is the technical term for body measurements and calculations. Thus, it is a system that uses information regarding human characteristics to identify a particular person for providing him access to various controls.

(ii) **Photocopy Machine :** It is a machine that makes copies of documents/papers and other visual images onto paper or plastic film instantly and economically.

(iii) **LED Projector :** LED (Light Emitting Diode) Projector is a video projector used to display video, images or computer data on a screen or any other flat surface.

(iv) **Scanner :** It is a device which reads and examines the documents and converts them into digital data.

(v) **Laptop :** It is a type of computer that is easily portable to be carried around easily. It requires less space and power consumption.

(vi) **Smartphones :** It is a mobile phone which provides various advance features which is provided by computer other than making phone calls.

(vii) **Video Conferencing :** It is the conduct of a video conference by a set of telecommunication technologies which allow two or more people from different locations to communicate by simultaneous two way video and audio transmissions.

(viii) **Intercom :** It is a device like a door phone into which people speak when they want to communicate with someone who is inside a building, in a different room, in part of a plane, or in small collection of buildings.

(ix) **Internet :** A system of various interconnected computer networks around the world providing a variety of information and communication facilities.

(x) **Wi-Fi :** Wi-Fi is the name of a wireless networking technology that uses radio waves to provide wireless high-speed internet and network connections.

(xi) **VoIP :** Voice over Internet Protocol (VoIP), also called IP telephony, is a transmission of voice and multimedia content over Internet Protocol (IP) networks, such as the Internet.

➢ **Productivity Enhancement Tools and Facilities at Airport**

(i) **Self Check-in-Kiosk :** Check-in kiosks are being used in airports to decrease check-in times and costs. By automating these simple tasks, airport staff can focus more on security of passengers and more complex tasks to improve customer service.

(ii) **CUTE Workstations :** Computer system provided to airlines by the airport that allows airline staff to access their own computer systems without having their own dedicated equipment, while allowing more flexible and efficient use of airport facilities.

(iii) **AODB Solutions :** Central database to be used for collecting, analyzing and sharing the airport's operational data among the approved users and other applications.

(iv) **ATS :** An air traffic service (ATS) is a service which regulates and assists in real-time to ensure safe operations.

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